

The commodity futures markets

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Goals and state of market reforms

- ▶ 2000, National Agriculture Policy: Develop futures markets to allow people to procure commodities at a price better than MSP.
- ▶ Impact on size?
 - ▶ Electronic limit order book markets
 - ▶ Traded volumes: USD 29 billion in 2003 to USD 3330 in 2013
- ▶ Impact on market quality?
 - ▶ Does the commodity derivatives market aid price discovery?
Yes.
 - ▶ Are commodity derivatives good hedges?
Ambiguous. In some cases, yes; in others no.
 - ▶ Is there trust in the markets?
No.
- ▶ Probable cause?
High basis risk $\Rightarrow$ problems with arbitrage.
(**Reference:** Kolamkar Committee report, 2014)

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Making the world safe for arbitrageurs

- ▶ Ensure low basis risk.
- ▶ This needs:
 - ▶ Low market transactions costs
 - ▶ Low storage cost
 - ▶ High certainty about product and price: homogeneity of the underlying

Challenges that India faces

1. Legal and regulatory uncertainty:

Micro-management and intervention by governments on both quantity and price; regulatory constraints on participants; lack of enforcement of regulation.

Uncertainty deters participants from making long-term investments in the business.

2. Problems of settlement:

Uncertainty of quantity and quality of commodities delivered at warehouses or against warehouse depository receipts.

3. Problems with contract structure:

Commodities are different from equity – geographical, seasonal variations; but commodity derivatives structures in India are very similar to equity derivatives.

Short maturities; single contracts for a given commodity; index contracts prohibited by Forwards Contract (Regulation) Act.

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Way forward? Simple fixes – product structure, market structure

- ▶ Simple fixes: product structure.
- ▶ Regulator (FMC) should (and has) devolve choices of products and product development, market features onto exchanges.
- ▶ Exchanges compete to find the best product structure.
- ▶ FMC steps in when there is market abuse in any product.

Way forward? Structural – strengthen foundations

- ▶ *Public administration.*

Processes of the Indian Financial Code.

- ▶ *Information.*

Strengthen the polling of spot prices.

- ▶ *Evidence-based regulation making:*

1. Consumer protection: Measure consumers being mistreated, and make it part of market performance metrics.
2. Micro-prudential regulation: measure and monitor risk of clearing member failure.
3. Systemic risk: measure and monitor risk of clearing corporations.
4. Market abuse: Detect and enforce against market abuse.

- ▶ *Inter-regulatory coordination:*

Increase trust and participation by other financial firms.

- ▶ *Make Indian commodity markets internationally competitive*

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